

BMM pitch deck

PITCH — BMM — PROPOSED VERDICT (one line; label clearly “PROPOSED — PENDING ADJUDICATION”)

PROPOSED — PENDING ADJUDICATION: DO NOT BUY at \$4.82. Both benches converge on no-entry, but on the challengers’ corrected math the stock is a live re-open candidate: buy consideration only below ~\$3.21, or on the double event of a $\geq$ US\$100M streaming deal closing plus resolution of the Norwegian permit challenge with copper holding $\geq$ \$5.50/lb.

What we believe

Blue Moon Metals (NYSE American: BMM, ~\$507M market cap at \$4.82) is building the Nussir copper mine in Kvalsund, Norway — a fully permitted (under Norwegian law) project with a completed feasibility study, C\$159.1M of cash on the balance sheet as of June 30, 2026, and a stated path to production in 2027. The bull story is real in outline: Europe wants domestic copper (the EU has designated Nussir a Strategic Project under its Critical Raw Materials Act), the study’s economics improve sharply with the copper price, and copper on the London Metal Exchange closed August 14 at \$14,545/tonne (~\$6.60/lb) — above even the “spot” scenario the company’s own study used.

But we believe the stock is not buyable today, for three stacked reasons:

- 1. The permits are legally contested at the European level.** The EFTA Surveillance Authority — the watchdog that checks whether Norway follows EU-derived environmental law — has issued a formal notice finding Norway in breach of the Water Framework Directive *by authorising, and maintaining in force*, Nussir’s permit to deposit mine tailings in a fjord ([primary document, ESA Case 86194](#)). The company’s August 13 statement that “all permits at Nussir are in good standing” is true under Norwegian law and beside the point: the challenge is to the Norwegian framework itself. If it goes badly, capital already sunk into construction could be stranded.
- 2. The money to finish the mine is not in hand.** Initial capital cost is US\$184M. A precious-metals streaming deal (selling the future gold and silver output for cash up front) was announced as a memorandum roughly eight months ago and, per the company’s own August 13 statement, “no precious metals streaming agreement has been closed or drawn.” The funding hole is at least ~US\$70M, and the share count already doubled in a year (51.3M $\rightarrow$ 98.4M weighted average). More share issuance is the predictable path — and we should not be buying just ahead of a stock sale we ourselves predict.
- 3. At the study’s own long-term copper price, a finished, funded, unchallenged Nussir is worth less than today’s stock price.** Roughly \$3.21/share (see math below). Everything above that is a bet that copper stays well above \$4.78/lb for the 13-year mine life.

So: the upside is genuinely large if copper stays here, but at today's price you are paying up front for three things that haven't happened yet — high copper forever, a legal cure, and financing on decent terms.

What the market believes

At \$4.82 the market is pricing in something close to: the permit challenge resolves (or never bites), the financing closes without severe dilution, and copper stays meaningfully above the study's \$4.78/lb long-term assumption — roughly \$5.50/lb held flat gets you to today's price on funded-project math. That is not a crazy set of beliefs given LME copper is at \$6.60/lb today, which is why this is a “fairly contested” name rather than an obvious short.

The name is also no longer undiscovered: market cap is up ~287% year over year, Scotiabank (C\$14 target) and Maxim (\$15) have initiated coverage, a short-seller (Viceroy) has published against it, and a fresh 13G/A ownership filing landed August 14. Bulls and bears are both already here.

Why we might have edge

- **We read the primary legal document; most commentary hasn't.** The ESA letter (pages 18–27, read directly) does two things the company's reassuring press release does not address: it finds the breach is ongoing (“maintaining in force” the permit), and it confirms — citing the Ministry's own January 2024 doctrine — that the June 2026 permit amendments were processed as “non-deteriorating” changes, meaning they did *not* re-run the environmental review. The company's “permits in good standing” line is accurate and irrelevant to the actual risk.
- **We rebuilt the valuation from the company's own feasibility study**, including the sensitivity figure the first pass on our own desk missed: NPV of US\$235M at \$4.78/lb copper and US\$559M at the March 4, 2026 spot price (~\$5.88/lb), per the [company's feasibility study press release](#). That gives a disclosed, not invented, slope of roughly US\$295M of project value per \$1/lb of copper — which cuts both ways (see next section).
- **We caught the timing trap.** The most likely near-term corporate action is an equity raise or a stream on tough terms. Waiting for that event is free option value; buying before it is paying for someone else's exit.

Why it might be priced in

Honesty requires the symmetric case, and our challenging bench made it well:

- **At today's actual copper price, the market may be underpaying.** Extending the study's own disclosed sensitivity to the current LME price of ~\$6.60/lb implies a funded project plus cash worth ~\$8/share — roughly 70% above the tape. The prosecution's claim that the stock trades above any plausible funded value was **wrong**, an artifact of its own hand-built math (detailed below). If copper simply stays where it is and the two contingencies clear, today's buyer does very well.

- **The permit risk may resolve quietly.** The ESA letter itself signposts the cure path (a formal “scarcity of supply / overriding public interest” justification), and Norway and the EU both have strong political reasons — Critical Raw Materials Act status — to want this mine built.
- **The crowding cuts both ways:** two banks with targets near triple the current price mean any good news has ready buyers.

Our answer to all three: probably some of it is priced in, which is exactly why this is a “wrong price, live re-open” call rather than a short. We are explicitly **not** recommending a short — borrow availability was never checked, the company has every incentive and a visible path to cure, and the copper tape is against a short.

What we checked ourselves

claim	how checked	found	confirmed?
“All permits in good standing” defeats the legal risk	Read the ESA formal-notice letter itself (pp. 18–27 of the primary PDF), not press coverage	Breach found in “maintaining in force” the permit; June 2026 amendments explicitly did not re-run environmental review; EU Strategic Project status “does not alter” the findings	❌ Claim refuted as a defense; risk is real
Streaming deal status	Company’s own Aug 13 press release, verbatim	“No precious metals streaming agreement has been closed or drawn” ~8 months after the memorandum	✅ Financing gap ≥US\$70M confirmed
Cash & bridge loan	June 30 interim financials (6-K filed 2026-08-13) cross-checked against Aug 13 PR	C\$159,129,572 cash; US\$12.5M bridge drawn — identical in both documents	✅
Prosecution’s valuation: “funded project worth \$3.43 vs \$4.82 tape, at ANY realistic copper price” — presented as the fatal blow	Challenger re-derived it from the feasibility press release	Our own bench erred twice. (1) It claimed the study disclosed no sensitivity and hand-built a slope of ~US\$180M per \$1/lb; the press release in fact discloses two NPV points (\$235M at \$4.78, \$559M at \$5.88 spot), implying ~\$295M per \$1/lb — 60% steeper. (2) It used the 98.4M weighted-average share count instead of ~105.2M actual shares. Corrected: ~\$3.21/share at the study’s long-term price, but ~\$6.29 at the study’s spot scenario and ~\$8 at today’s LME — the “fatal” framing was backwards at current copper	⚠️ Partially — the conservative-price floor stands; the “priced above any funded value” claim was overturned
Prosecution’s claim that bulls’ “\$6.60 copper” was a tariff-inflated US (COMEX) price, with the true European price at \$6.08	Checked LME cash settlement directly (westmetall series)	LME cash on Aug 14 was \$14,545/t = \$6.60/lb — the bulls’ number was the correct London price; our bench’s \$6.08 came from a stale/mislabeled forward quote. Second bench error; the proposed “COMEX-vs-LME” detector from this case should NOT be adopted on this evidence	❌ Prosecution refuted

claim	how checked	found	confirmed?
Stream is a positive catalyst	Feasibility study revenue mix	Gold + silver = ~19% of revenue; the stream sells that stream — it is financing that shrinks the prize, not found money	✅ (works both ways: closing it de-risks funding but cuts value)
Dilution trajectory	Filed share counts	Weighted average 51.3M → 98.4M year over year; ~105.2M implied now	✅
Not under-the-radar	Coverage, filings, short report	Scotiabank C\$14 / Maxim \$15 initiations, Viceroy short report, 13G/A Aug 14; also company acquired 33 tungsten/antimony projects (Aug 11 6-K) while flagship is underfunded	✅
Live broker price feed	Attempted	Not available this session; price rests on the evidence pack + web close (\$4.82, Aug 14)	⚠️ Coverage gap, flagged

PROPOSED ENTRY BANDS

The court's proposal is **no entry today**. Re-open bands, from the benches' own corrected math (all per-share figures use ~105.2M shares and net cash of ~US\$103M):

- **Price re-open: \$3.21 or below.** That is the value of a *finished, funded, legally unchallenged* Nussir at the study's own long-term copper price (\$4.78/lb), plus corporate cash. At or below that level the buyer is finally being paid to carry the legal and financing risk. (The prosecution's \$3.40 was directionally right; \$3.21 is the corrected figure.) Below \$3.21, size initial entry small — the stranded-capex scenario, where construction money is sunk and the permit fails, is a real tail with no known floor.
- **Event re-open (either price):** BOTH of — (a) a streaming deal closes for ≥US\$100M giving up no more than the ~19% of revenue the gold/silver represents, AND (b) the ESA case closes or Norway issues a formal decree with the “overriding public interest / scarcity” justification done properly in advance — with LME copper ≥\$5.50/lb at the time. On that double event, bring the name back to court as a long; the corrected math says a funded, cured project is worth ~\$6.30–8.00/share at \$5.88–6.60/lb copper.
- **Explicit no-trade zones:** No buying between \$3.21 and the event re-open — that range is paying for unresolved contingencies. No buying immediately ahead of an announced equity raise (we predict one; don't stand in front of it). **No short at any level** — borrow unchecked, cure path live, copper price hostile to shorts.
- **Adds/exits:** Not applicable until an entry exists; to be set at re-court.
- **Catalyst dates:** Next quarterly results ~**2026-11-12** (derived from data feeds, **unconfirmed** — no company press release names it). Stream closing, ESA case developments, and any equity raise are date-unknown and arrive via 6-K filings.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 3.21 (deck-provisional: funded, cured, consensus-copper value per share (corrected share count); below this the legal/financin)
- filing watch: 6-K until 2027-02-12 (deck-provisional: stream closing >=US\$100M on <=19% revenue carve, equity raise, or ESA/permit developments disclosed vi)
- dated pack BMM|2026-11-12: BMM: next quarterly results (data-feed-derived, no company confirmation) (date confirmed=False)

What remains unverified

- **Note 22 (subsequent events) of the June 30 financials was not read by either bench** — it could contain stream or bridge-loan developments that change the financing picture. Highest-priority gap before adjudication.
- The **size of the proposed streaming deal** (the original memorandum's figure) — the source paywalled/blocked; only its non-closing is confirmed.
- **Lockup terms** on recent share placements, and **stock borrow availability** (moot unless someone proposes a short).
- The **November 12 results date** (data-feed-derived, no company confirmation).
- The **Scotiabank and Maxim price targets** were taken from secondary reporting, not the notes themselves (non-load-bearing).
- **Live broker pricing** — all tape figures are from the evidence pack and public closes as of August 14, 2026.
- The extrapolation of project value to today's \$6.60/lb copper goes **beyond the study's disclosed \$4.78–\$5.88 range** — the ~\$8/share figure assumes the disclosed slope holds outside its bracket, which is reasonable but not company-disclosed.

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